Southern Company

3rd Quarter 2021 Earnings

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November 4, 2021

Southern Company reports third-quarter 2021 earnings

ATLANTA – Southern Company today reported third-quarter 2021 earnings of $1.1 billion, or $1.04 per share, compared with $1.3 billion, or $1.18 per share, in the third quarter of 2020. For the nine months ended September 30, 2021, Southern Company reported earnings of $2.6 billion, or $2.46 per share, compared with earnings of $2.7 billion, or $2.58 per share, for the same period in 2020.

Excluding the items described under "Net Income – Excluding Items" in the table below, Southern Company earned $1.30 billion, or $1.23 per share, during the third quarter of 2021, compared with $1.29 billion, or $1.22 per share, during the third quarter of 2020. For the nine months ended September 30, 2021, excluding these items, Southern Company earned $3.2 billion, or $3.05 per share, compared with $2.9 billion, or $2.78 per share, for the same period in 2020.

Non-GAAP Financial Measures	**Three Months Ended September**		**Year-to-Date September**	
Net Income - Excluding Items (in millions)	**2021**	2020	**2021**	2020
Net Income - As Reported	**$ 1,101**	$ 1,251	**$ 2,608**	$ 2,732
Less:				
Estimated Loss on Plants Under Construction	**(271)**	3	**(779)**	(151)
Tax Impact	**69**	(1)	**198**	39
Acquisition and Disposition Impacts	**119**	—	**120**	38
Tax Impact	**(112)**	—	**(112)**	(16)
Wholesale Gas Services	**—**	(62)	**18**	(61)
Tax Impact	**1**	17	**(3)**	16
Asset Impairments	**(2)**	—	**(91)**	(154)
Tax Impact	**(7)**	—	**19**	80
Net Income - Excluding Items	**$ 1,304**	$ 1,294	**$ 3,238**	$ 2,941
Average Shares Outstanding - (in millions)	**1,061**	1,058	**1,060**	1,058
Basic Earnings Per Share - Excluding Items	**$ 1.23**	$ 1.22	**$ 3.05**	$ 2.78

NOTE: For more information regarding these non-GAAP adjustments, see the footnotes accompanying the Financial Highlights page of the earnings package.

Earnings drivers year-over-year for the third quarter of 2021, as compared with 2020, were strong customer usage, as well as robust customer growth and constructive state regulatory actions. These impacts were partially offset by higher non-fuel operations and maintenance costs as the ongoing economic recovery resulted in a continuing return to more normal business operations. Earnings for the third quarter of 2021 were also significantly impacted by a $197 million after-tax charge related to Georgia Power's construction of Plant Vogtle units 3 and 4.

"The Southern Company system once again experienced outstanding operational performance in the third quarter of 2021," said Chairman, President and CEO Thomas A. Fanning. "As the economies in our service territories continued to recover from the COVID-19 pandemic, we saw higher retail kilowatt-hour sales at our state-regulated electric utilities, and we continued to experience strong customer growth in our Southeastern footprint."

Third-quarter 2021 operating revenues were $6.2 billion, compared with $5.6 billion for the third quarter of 2020, an increase of 11.0 percent. For the nine months ended September 30, 2021, operating revenues were $17.3 billion, compared with $15.3 billion for the corresponding period in 2020, an increase of 13.7 percent. These increases were primarily due to higher fuel costs and the negative impacts of the COVID-19 pandemic on energy sales in 2020.

Southern Company's third-quarter earnings slides with supplemental financial information, including earnings guidance, are available at http://investor.southerncompany.com.

Southern Company's financial analyst call will begin at 1 p.m. Eastern Time today, during which Fanning and Chief Financial Officer Daniel S. Tucker will discuss earnings and provide a general business update, including an update on the Vogtle units 3 and 4 construction project and earnings guidance. Investors, media and the public may listen to a live webcast of the call and view associated slides at https://investor.southerncompany.com/events-and-presentations/default.aspx. A replay of the webcast will be available on the site for 12 months.

About Southern Company

Southern Company (NYSE: SO) is a leading energy company serving 9 million customers through its subsidiaries. The company provides clean, safe, reliable and affordable energy through electric operating companies in three states, natural gas distribution companies in four states, a competitive generation company serving wholesale customers across America, a leading distributed energy infrastructure company, a fiber optics network and telecommunications services. Southern Company brands are known for excellent customer service, high reliability and affordable prices below the national average. For more than a century, we have been building the future of energy and developing the full portfolio of energy resources, including carbon-free nuclear, advanced carbon capture technologies, natural gas, renewables, energy efficiency and storage technology. Through an industry-leading commitment to innovation and a low-carbon future, Southern Company and its subsidiaries develop the customized energy solutions our customers and communities require to drive growth and prosperity. Our uncompromising values ensure we put the needs of those we serve at the center of everything we do and govern our business to the benefit of our world. Our corporate culture and hiring practices have been recognized nationally by the U.S. Department of Defense, G.I. Jobs magazine, DiversityInc, Black Enterprise, Forbes and the Women's Choice Award. To learn more, visit www.southerncompany.com.

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Southern Company

Financial Highlights

(In Millions of Dollars Except Earnings Per Share)

Net Income–As Reported (See Notes)	Three Months Ended September 2021	Three Months Ended September 2020	Year-To-Date September 2021	Year-To-Date September 2020
Traditional Electric Operating Companies	**$ 1,085**	$ 1,284	**$ 2,352**	$ 2,571
Southern Power	**78**	74	**211**	212
Southern Company Gas	**56**	14	**389**	360
Total	**1,219**	1,372	**2,952**	3,143
Parent Company and Other	**(118)**	(121)	**(344)**	(411)
Net Income–As Reported	**$ 1,101**	$ 1,251	**$ 2,608**	$ 2,732
Basic Earnings Per Share[1]	**$ 1.04**	$ 1.18	**$ 2.46**	$ 2.58
Average Shares Outstanding *(in millions)*	**1,061**	1,058	**1,060**	1,058
End of Period Shares Outstanding *(in millions)*			**1,060**	1,056

Non-GAAP Financial Measures Net Income–Excluding Items (See Notes)	Three Months Ended September 2021	Three Months Ended September 2020	Year-To-Date September 2021	Year-To-Date September 2020
Net Income–As Reported	**$ 1,101**	$ 1,251	**$ 2,608**	$ 2,732
Less:				
Estimated Loss on Plants Under Construction[2]	**(271)**	3	**(779)**	(151)
Tax Impact	**69**	(1)	**198**	39
Acquisition and Disposition Impacts[3]	**119**	—	**120**	38
Tax Impact	**(112)**	—	**(112)**	(16)
Wholesale Gas Services[4]	**—**	(62)	**18**	(61)
Tax Impact	**1**	17	**(3)**	16
Asset Impairments[5]	**(2)**	—	**(91)**	(154)
Tax Impact	**(7)**	—	**19**	80
Net Income–Excluding Items	**$ 1,304**	$ 1,294	**$ 3,238**	$ 2,941
Basic Earnings Per Share–Excluding Items	**$ 1.23**	$ 1.22	**$ 3.05**	$ 2.78

-See Notes on the following page.

Southern Company

Financial Highlights

Notes

(1) Dilution is not material in any period presented. Diluted earnings per share was $1.03 and $2.44 for the three and nine months ended September 30, 2021 and was $1.18 and $2.57 for the three and nine months ended September 30, 2020, respectively.

(2) Earnings for the three months ended September 30, 2021 include a charge of $264 million pre tax ($197 million after tax), earnings for the nine months ended September 30, 2021 include charges totaling $772 million pre tax ($576 million after tax), and earnings for the nine months ended September 30, 2020 include a charge of $149 million pre tax ($111 million after tax) for estimated probable losses on Georgia Power Company's construction of Plant Vogtle Units 3 and 4. Further charges may occur; however, the amount and timing of any such charges are uncertain. Earnings for the three and nine months ended September 30, 2021 and 2020 also include charges (net of salvage proceeds), associated legal expenses (net of insurance recoveries), and tax impacts related to Mississippi Power Company's integrated coal gasification combined cycle facility project in Kemper County, Mississippi. Mississippi Power Company expects to incur additional pre-tax period costs to complete dismantlement of the abandoned gasifier-related assets and site restoration activities, including related costs for compliance and safety, asset retirement obligation accretion, and property taxes, totaling $10 million to $20 million annually through 2025.

(3) Earnings for the three and nine months ended September 30, 2021 primarily include a preliminary $121 million pre-tax ($93 million after-tax) gain on the sale of Sequent, as well as $85 million in additional tax expense due to the resulting changes in state apportionment rates. Earnings for the nine months ended September 30, 2020 primarily include a $39 million pre-tax ($23 million after-tax) gain on the sale of Southern Power Company's Plant Mankato. Further impacts may be recorded in future periods in connection with acquisition and disposition activity.

(4) Earnings for the three and nine months ended September 30, 2021 and 2020 include Wholesale Gas Services business results. Presenting earnings and earnings per share excluding Wholesale Gas Services provides an additional measure of operating performance that excludes the volatility resulting from mark-to-market and lower of weighted average cost or current market price accounting adjustments. Amounts subsequent to the July 1, 2021 sale of Sequent represent final income adjustments.

(5) Earnings for the three and nine months ended September 30, 2021 include pre-tax impairment charges of $2 million ($9 million after tax) and $84 million ($67 million after tax), respectively, related to Southern Company Gas' investment in the PennEast Pipeline project and for the nine months ended September 30, 2021 also include a pre-tax impairment charge of $7 million ($6 million after tax) related to a leveraged lease investment. Earnings for the nine months ended September 30, 2020 include a pre-tax impairment charge of $154 million ($74 million after tax) related to another leveraged lease investment. Impairment charges may occur in the future; however, the amount and timing of any such charges are uncertain.

Southern Company

Significant Factors Impacting EPS

	Three Months Ended September			Year-To-Date September		
	2021	2020	Change	**2021**	2020	Change
Earnings Per Share– **As Reported[1] (See Notes)**	**$ 1.04**	$ 1.18	**$ (0.14)**	**$ 2.46**	$ 2.58	**$ (0.12)**
Significant Factors:						
Traditional Electric Operating Companies			**$ (0.18)**			**$ (0.20)**
Southern Power			**—**			**—**
Southern Company Gas			**0.04**			**0.03**
Parent Company and Other			**—**			**0.06**
Increase in Shares			**—**			**(0.01)**
Total–As Reported			**$ (0.14)**			**$ (0.12)**

	Three Months Ended September			Year-To-Date September		
Non-GAAP Financial Measures	**2021**	2020	Change	**2021**	2020	Change
Earnings Per Share– **Excluding Items (See Notes)**	**$ 1.23**	$ 1.22	**$ 0.01**	**$ 3.05**	$ 2.78	**$ 0.27**
Total–As Reported			**$ (0.14)**			**$ (0.12)**
Less:						
Estimated Loss on Plants Under Construction[2]			**(0.19)**			**(0.44)**
Acquisition and Disposition Impacts[3]			**0.01**			**(0.01)**
Wholesale Gas Services[4]			**0.04**			**0.06**
Asset Impairments[5]			**(0.01)**			**—**
Total–Excluding Items			**$ 0.01**			**$ 0.27**

- See Notes on the following page.

Southern Company

Significant Factors Impacting EPS

Notes

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Southern Company
EPS Earnings Analysis

Description	Three Months Ended September 2021 vs. 2020	Year-To-Date September 2021 vs. 2020
Retail Sales	6¢	11¢
Retail Revenue Impacts	6	15
Weather	(7)	1
Wholesale & Other Operating Revenues	2	11
Non-Fuel O&M	(9)	(21)
Depreciation and Amortization, Interest Expense, Other	5	9
Income Taxes	(2)	(2)
Total Traditional Electric Operating Companies	**1¢**	**24¢**
Southern Power	—	2
Southern Company Gas	—	2
Increase in Shares	—	(1)
Total Change in EPS (Excluding Items)	**1¢**	**27¢**
Estimated Loss on Plants Under Construction[1]	(19)	(44)
Acquisition and Disposition Impacts[2]	1	(1)
Wholesale Gas Services[3]	4	6
Asset Impairments[4]	(1)	—
Total Change in EPS (As Reported)	**(14)¢**	**(12)¢**

- See Notes on the following page.

Southern Company
EPS Earnings Analysis

Notes

(1) Earnings for the three months ended September 30, 2021 include a charge of $264 million pre tax ($197 million after tax), earnings for the nine months ended September 30, 2021 include charges totaling $772 million pre tax ($576 million after tax), and earnings for the nine months ended September 30, 2020 include a charge of $149 million pre tax ($111 million after tax) for estimated probable losses on Georgia Power Company's construction of Plant Vogtle Units 3 and 4. Further charges may occur; however, the amount and timing of any such charges are uncertain. Earnings for the three and nine months ended September 30, 2021 and 2020 also include charges (net of salvage proceeds), associated legal expenses (net of insurance recoveries), and tax impacts related to Mississippi Power Company's integrated coal gasification combined cycle facility project in Kemper County, Mississippi. Mississippi Power Company expects to incur additional pre-tax period costs to complete dismantlement of the abandoned gasifier-related assets and site restoration activities, including related costs for compliance and safety, asset retirement obligation accretion, and property taxes, totaling $10 million to $20 million annually through 2025.

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Southern Company
Consolidated Earnings
As Reported
(In Millions of Dollars)

	Three Months Ended September			Year-To-Date September		
	2021	2020	Change	**2021**	2020	Change
Income Account-						
Retail Electric Revenues-						
Fuel	**$ 1,186**	$ 949	$ 237	**$ 2,899**	$ 2,301	$ 598
Non-Fuel	**3,365**	3,294	71	**8,593**	8,202	391
Wholesale Electric Revenues	**731**	584	147	**1,822**	1,473	349
Other Electric Revenues	**179**	164	15	**525**	484	41
Natural Gas Revenues	**623**	477	146	**2,994**	2,362	632
Other Revenues	**154**	152	2	**513**	436	77
Total Revenues	**6,238**	5,620	618	**17,346**	15,258	2,088
Fuel and Purchased Power	**1,522**	1,163	359	**3,642**	2,801	841
Cost of Natural Gas	**129**	71	58	**943**	654	289
Cost of Other Sales	**71**	72	(1)	**255**	201	54
Non-Fuel O&M	**1,446**	1,286	160	**4,257**	3,785	472
Depreciation and Amortization	**896**	889	7	**2,658**	2,619	39
Taxes Other Than Income Taxes	**312**	304	8	**969**	932	37
Estimated Loss on Plant Vogtle Units 3 and 4	**264**	—	264	**772**	149	623
(Gain) Loss on Dispositions, net	**(125)**	—	(125)	**(179)**	(39)	(140)
Total Operating Expenses	**4,515**	3,785	730	**13,317**	11,102	2,215
Operating Income	**1,723**	1,835	(112)	**4,029**	4,156	(127)
Allowance for Equity Funds Used During Construction	**49**	38	11	**140**	106	34
Earnings from Equity Method Investments	**30**	33	(3)	**35**	105	(70)
Interest Expense, Net of Amounts Capitalized	**451**	443	8	**1,352**	1,343	9
Impairment of Leveraged Leases	**—**	—	—	**7**	154	(147)
Other Income (Expense), net	**131**	113	18	**297**	319	(22)
Income Taxes	**372**	293	79	**550**	443	107
Net Income	**1,110**	1,283	(173)	**2,592**	2,746	(154)
Less:						
Dividends on Preferred Stock of Subsidiaries	**4**	4	—	**11**	11	—
Net Income (Loss) Attributable to Noncontrolling Interests	**5**	28	(23)	**(27)**	3	(30)
NET INCOME ATTRIBUTABLE TO SOUTHERN COMPANY	**$ 1,101**	$ 1,251	$ (150)	**$ 2,608**	$ 2,732	$ (124)

Notes

- Certain prior year data may have been reclassified to conform with current year presentation.

Southern Company

Kilowatt-Hour Sales and Customers

(In Millions of KWHs)

	Three Months Ended September				Year-To-Date September			
	2021	2020	Change	Weather Adjusted Change	**2021**	2020	Change	Weather Adjusted Change
Kilowatt-Hour Sales-								
Total Sales	**54,134**	53,099	1.9 %		**146,576**	140,910	4.0 %	
Total Retail Sales-	**40,441**	40,218	0.6 %	3.0 %	**109,747**	106,724	2.8 %	2.4 %
Residential	**14,063**	14,740	(4.6)%	0.5 %	**36,941**	36,485	1.2 %	(0.1)%
Commercial	**13,458**	13,140	2.4 %	4.2 %	**35,701**	34,611	3.2 %	3.3 %
Industrial	**12,762**	12,177	4.8 %	4.8 %	**36,632**	35,129	4.3 %	4.3 %
Other	**158**	161	(2.3)%	(2.1)%	**473**	499	(5.2)%	(5.3)%
Total Wholesale Sales	**13,693**	12,881	6.3 %	N/A	**36,829**	34,186	7.7 %	N/A

(In Thousands of Customers)

	Period Ended September		
	2021	2020	Change
Regulated Utility Customers-			
Total Utility Customers-	**8,656**	8,580	0.9%
Total Traditional Electric	**4,373**	4,322	1.2%
Southern Company Gas	**4,283**	4,258	0.6%

Southern Company
Financial Overview
As Reported
(In Millions of Dollars)

	Three Months Ended September			Year-To-Date September		
	2021	2020	% Change	**2021**	2020	% Change
Southern Company –						
Operating Revenues	**$ 6,238**	$ 5,620	11.0 %	**$ 17,346**	$ 15,258	13.7 %
Earnings Before Income Taxes	**1,482**	1,576	(6.0)%	**3,142**	3,189	(1.5)%
Net Income Available to Common	**1,101**	1,251	(12.0)%	**2,608**	2,732	(4.5)%
Alabama Power –						
Operating Revenues	**$ 1,904**	$ 1,729	10.1 %	**$ 5,019**	$ 4,445	12.9 %
Earnings Before Income Taxes	**655**	578	13.3 %	**1,566**	1,340	16.9 %
Net Income Available to Common	**499**	444	12.4 %	**1,189**	1,022	16.3 %
Georgia Power –						
Operating Revenues	**$ 2,856**	$ 2,617	9.1 %	**$ 7,050**	$ 6,371	10.7 %
Earnings Before Income Taxes	**649**	945	(31.3)%	**1,111**	1,609	(31.0)%
Net Income Available to Common	**536**	773	(30.7)%	**1,030**	1,411	(27.0)%
Mississippi Power –						
Operating Revenues	**$ 378**	$ 336	12.5 %	**$ 988**	$ 895	10.4 %
Earnings Before Income Taxes	**60**	79	(24.1)%	**155**	158	(1.9)%
Net Income Available to Common	**50**	67	(25.4)%	**133**	138	(3.6)%
Southern Power –						
Operating Revenues	**$ 679**	$ 523	29.8 %	**$ 1,610**	$ 1,337	20.4 %
Earnings Before Income Taxes	**92**	116	(20.7)%	**181**	242	(25.2)%
Net Income Available to Common	**78**	74	5.4 %	**211**	212	(0.5)%
Southern Company Gas –						
Operating Revenues	**$ 623**	$ 477	30.6 %	**$ 2,994**	$ 2,362	26.8 %
Earnings Before Income Taxes	**189**	17	N/M	**613**	458	33.8 %
Net Income Available to Common	**56**	14	N/M	**389**	360	8.1 %

N/M - Not Meaningful

Notes

- See Financial Highlights pages for discussion of certain significant items occurring during the periods